EXHIBIT 1-5 *Analysis of Transactions of Gary Lyon, CPA*

Panel A—Details of transactions

1. Lyon invested $50,000 cash in the business.
2. Paid $40,000 cash for land.
3. Purchased $500 of office supplies on account.
4. Received $5,500 cash from clients for accounting service revenue earned.
5. Performed accounting service for a client on account, $3,000.
6. Paid cash expenses: rent, $1,100; employee salary, $1,200; utilities, $400.
7. Paid $400 on the account payable created in Transaction 3.
8. Remodeled his personal residence. This is not a business transaction.
9. Received $1,000 on the account receivable created in Transaction 5.
10. Sold land for cash equal to its cost of $22,000.
11. Withdrew $2,100 cash for personal living expenses.

Panel B—Analysis of transactions

	Assets				=	Liabilities +	Owner's Equity	Type of Owner's Equity Transaction
	Cash	+ Accounts Receivable	+ Office Supplies	+ Land		Accounts Payable	+ Gary Lyon, Capital	
(1)	+50,000						+50,000	Owner investment
Bal.	50,000						50,000	
(2)	−40,000			+40,000				
Bal.	10,000			40,000			50,000	
(3)			+500			+500		
Bal.	10,000		500	40,000		500	50,000	
(4)	+ 5,500						+ 5,500	Service revenue
Bal.	15,500		500	40,000		500	55,500	
(5)		+3,000					+ 3,000	Service revenue
Bal.	15,500	3,000	500	40,000		500	58,500	
(6)	− 2,700						− 1,100	Rent expense
							− 1,200	Salary expense
							− 400	Utilities expense
Bal.	12,800	3,000	500	40,000		500	55,800	
(7)	− 400					−400		
Bal.	12,400	3,000	500	40,000		100	55,800	
(8)	Not a business transaction							
(9)	+ 1,000	−1,000						
Bal.	13,400	2,000	500	40,000		100	55,800	
(10)	+22,000			−22,000				
Bal.	35,400	2,000	500	18,000		100	55,800	
(11)	− 2,100						− 2,100	Owner withdrawal
Bal.	33,300	2,000	500	18,000		100	53,700	
	53,800					53,800		

Exercise 1-6 *Transaction analysis (L.O. 5)*

Indicate the effects of the following business transactions on the accounting equation. Transaction *a* is answered as a guide.

a. Invested cash of $1,800 in the business.
Answer: Increase asset (Cash)
Increase owner's equity (Capital)
b. Performed legal service for a client on account, $650.
c. Purchased on account office furniture at a cost of $500.
d. Received cash on account, $400.
e. Paid cash on account, $250.
f. Sold land for $12,000, which was our cost of the land.
g. Paid $90 cash to purchase office supplies.
h. Performed legal service for a client and received cash of $2,000.
i. Paid monthly office rent of $700.

Exercise 1-7 *Transaction analysis; accounting equation (L.O. 3,5)*

Allison LaChappelle opens a medical practice to specialize in child care. During her first month of operation, January, her practice, entitled Allison LaChappelle, M.D., experienced the following events:

Jan. 6	LaChappelle invested $120,000 in the business by opening a bank account in the name of Allison LaChappelle, M.D.
9	LaChappelle paid cash for land costing $90,000. She plans to build an office building on the land.
12	She purchased medical supplies for $2,000 on account.
15	On January 15, LaChappelle officially opened for business.
15–31	During the rest of the month she treated patients and earned service revenue of $6,000, receiving cash.
15–31	She paid cash expenses: employee salaries, $1,400; office rent, $1,000; utilities, $300.
28	She sold supplies to another physician for cost of $500.
31	She paid $1,500 on account.

Required

Analyze the effects of these events on the accounting equation of the medical practice of Allison LaChappelle, M.D. Use a format similar to that of Exhibit 1-5 in the chapter, with headings for Cash; Medical Supplies; Land; Accounts Payable; and Allison LaChappelle, Capital.

Required

Should the bank lend $300,000 to Sigma Enterprises? Write a one-paragraph recommendation to the loan committee.

Problem 1-2A *Entity concept, transaction analysis, accounting equation* (L.O. 3,5)

Kathy Wood practiced law with a large firm, a partnership, for ten years after graduating from law school. Recently she resigned her position to open her own law office, which she operates as a proprietorship. The name of the new entity is Kathy Wood, Attorney and Counselor.

Wood recorded the following events during the organizing phase of her new business and its first month of operations. Some of the events were personal and did not affect the law practice. Others were business transactions and should be accounted for by the business.

July	1	Wood sold 1,000 shares of Eastman Kodak stock, which she had owned for several years, receiving $88,000 cash from her stockbroker.
	2	Wood deposited the $88,000 cash from sale of the Eastman Kodak stock in her personal bank account.
	3	Wood received $135,000 cash from her former partners in the law firm from which she resigned.
	5	Wood deposited $130,000 cash in a new business bank account entitled Kathy Wood, Attorney and Counselor.
	6	A representative of a large company telephoned Wood and told her of the company's intention to transfer its legal business to the new entity of Kathy Wood, Attorney and Counselor.
	7	Wood paid $550 cash for letterhead stationery for her new law office.
	9	Wood purchased office furniture for the law office, agreeing to pay the account payable, $11,500, within three months.
	23	Wood finished court hearings on behalf of a client and submitted her bill for legal services, $2,100. She expected to collect from this client within one month.
	30	Wood paid office rent expense, $1,900.
	31	Wood withdrew $3,500 cash from the business for personal living expenses.

Required

1. Classify each of the preceding events as one of the following:
   a. Business transaction to be accounted for by the proprietorship of Kathy Wood, Attorney and Counselor.
   b. Business-related event but not a transaction to be accounted for by the proprietorship of Kathy Wood, Attorney and Counselor.
   c. Personal transaction not to be accounted for by the proprietorship of Kathy Wood, Attorney and Counselor.
2. Analyze the effects of the above events on the accounting equation of the proprietorship of Kathy Wood, Attorney and Counselor. Use a format similar to Exhibit 1–5.

Problem 1-3A *Balance sheet* (L.O. 3,6)

Problem 1-3A *Balance sheet (L.O. 3,6)*

The bookkeeper of Glass Travel Agency prepared the balance sheet of the company while the accountant was ill. The balance sheet contains numerous errors. In particular, the bookkeeper knew that the balance sheet should balance, so he plugged in the owner's equity amount needed to achieve this balance. However, the owner's equity amount is not correct. All other amounts are accurate.

Problem 1-5A *Transaction analysis for an actual company* (L.O. 4,5)

A balance sheet of Xerox Corporation, the manufacturer of copiers and other office equipment, is summarized as follows, with amounts in thousands. For example, Cash of $266,600,000 is presented as $266,600.

Xerox Corporation
Balance Sheet
December 31, 19X4
(thousands)

Assets		Liabilities	
Cash	$ 266,600	Notes payable	$1,985,500
Accounts receivable	1,466,900	Accounts payable	390,300
Merchandise inventories	1,469,800	Other liabilities	2,107,600
		Total liabilities	4,483,400
Land, buildings, and equipment	2,659,700	**Owner Equity**	
Other assets	3,953,700	Owner equity	5,333,300
Total assets	$9,816,700	Total liabilities and owner equity	$9,816,700

Suppose the company had the following transactions and events (amounts in thousands) during January:

a. Received cash investment from owners, $160.
b. Purchased inventories on account, $400.
c. Paid cash on account (to reduce accounts payable), $136.
d. Sold equipment to another company on account, $670. The equipment had cost $670.
e. Learned that a national television news program would show members of Congress using Xerox copy machines as part of a Senate investigation. The value of this advertisement to the company is estimated to be $1,000.
f. Borrowed cash, signing a note payable, $550.
g. Purchased equipment for cash, $380.
h. Collected cash on account from customers, $289.
i. Received special equipment from an owner as an investment in the company. The value of the equipment was $119.

Required

1. Showing all amounts in thousands, analyze the January 19X5 transactions of Xerox. Use a format similar to Exhibit 1-5.
2. Prove that assets = liabilities + owner equity after analyzing the transactions.

Required

Should the bank lend $100,000 to Lomoni Company? Write a one-paragraph recommendation to the loan committee.

Problem 1-2B *Entity concept, transaction analysis, accounting equation* (L.O. 3,5)

Melvin Dexter practiced law with a large firm, a partnership, for five years after graduating from law school. Recently he resigned his position to open his own law office, which he operates as a proprietorship. The name of the new entity is Melvin Dexter, Attorney.

Dexter recorded the following events during the organizing phase of his new business and its first month of operations. Some of the events were personal and did not affect his law practice. Others were business transactions and should be accounted for by the business.

May	4	Dexter received $50,000 cash from his former partners in the law firm from which he resigned.
	5	Dexter deposited $50,000 cash in a new business bank account entitled Melvin Dexter, Attorney.
	6	Dexter paid $300 cash for letterhead stationery for his new law office.
	7	Dexter purchased office furniture for his law office. He agreed to pay the account payable, $5,000, within six months.
	10	Dexter sold 500 shares of IBM stock, which he and his wife had owned for several years, receiving $75,000 cash from his stockbroker.
	11	Dexter deposited the $75,000 cash from sale of the IBM stock in his personal bank account.
	12	A representative of a large company telephoned Dexter and told him of the company's intention to transfer its legal business to the new entity of Melvin Dexter, Attorney.
	29	Dexter finished court hearings on behalf of a client and submitted his bill for legal services, $4,000. Dexter expected to collect from this client within two weeks.
	30	Dexter paid office rent expense, $1,000.
	31	Dexter withdrew $2,000 cash from the business for personal living expenses.

Required

1. Classify each of the preceding events as one of the following:
   a. Business transaction to be accounted for by the proprietorship of Melvin Dexter, Attorney.
   b. Business-related event but not a transaction to be accounted for by the proprietorship of Melvin Dexter, Attorney.
   c. Personal transaction not to be accounted for by the proprietorship of Melvin Dexter, Attorney.
2. Analyze the effects of the above events on the accounting equation of the proprietorship of Melvin Dexter, Attorney. Use a format similar to Exhibit 1-5.

Problem 1-3B *Balance sheet* (L.O. 3,6)

The bookkeeper of Getz Auction Co. prepared the balance sheet of the company while the accountant was ill. The balance sheet ...

reported on ...

Problem 1-5B *Transaction analysis for an actual company (L.O. 4,5)*

A balance sheet of Levi Strauss & Company, the world's largest seller of jeans and casual pants, is summarized as follows, with amounts in thousands. For example, Cash of $263,389,000 is presented as $263,389.

Levi Strauss & Company
Balance Sheet
November 25, 19X2
(thousands)

Assets		Liabilities	
Cash	$ 263,389	Notes payable	$ 83,361
Accounts receivable	339,798	Accounts payable	229,453
Merchandise inventories	387,660	Other liabilities	300,847
		Total liabilities	613,661
Property, plant, and equipment	330,455	**Owner Equity**	
Other assets	99,800	Owner equity	807,441
Total assets	$1,421,102	Total liabilities and owner equity	$1,421,102

Suppose that the company had the following transactions and events (amounts in thousands) during December:

a. Received cash investments from owners, $18.
b. Received special equipment from an owner as an investment in the company. The value of the equipment was $90.
c. Borrowed cash, signing a note payable, $100.
d. Purchased equipment for cash, $125.
e. Purchased inventories on account, $90.
f. Paid cash on account (to reduce accounts payable), $54.
g. Sold equipment to another company on account, $14. The equipment had cost $14.
h. Discovered that the president of the United States was going to wear Levi blue jeans while giving his State of the Union address next January.
i. Collected cash on account from customers, $84.

Required:

1. Showing all amounts in thousands, analyze the December transactions of Levi Strauss. Use a format similar to Exhibit 1-5.
2. Prove that assets = liabilities + owner equity after analyzing the transactions.

Problem 1-6B

Required

1. Prepare the income statement of Petoski Theater for the year ended December 31 of the current year.
2. Prepare the statement of owner's equity of the company for the year ended December 31.
3. Prepare the balance sheet of the company at December 31.

Problem 1-8B *Transaction analysis, accounting equation, financial statements (L.O. 5,6)*

Lisa Reed owns and operates an interior design studio called Reed Interiors. The following amounts summarize the financial position of her business on August 31, 19X2:

	Assets				=	Liabilities	+	Owner's Equity
	Cash	+ Accounts Receivable	+ Supplies	+ Land	=	Accounts Payable	+	Lisa Reed, Capital
Bal.	1,250	1,500		12,000		8,000		6,750

During September 19X2 the following events occurred:

a. Reed inherited $15,000 and deposited the cash in the business bank account.

b. Performed services for a client and received cash of $700.

c. Paid off the beginning balance of accounts payable.

d. Purchased supplies on account, $500.

e. Collected cash from a customer on account, $1,000. revenue

f. Invested personal cash of $1,000 in the business.

g. Consulted on the interior design of a major office building and billed the client for services rendered, $2,400.

h. Recorded the following business expenses for the month:
   (1) Paid office rent—$900.
   (2) Paid advertising—$100.

i. Sold supplies to another business for $150 cash, which was the cost of the supplies.

j. Withdrew cash of $1,800 for personal use.

Summary Problem for Your Review

On August 1, 19X5, Liz Shea opens a business that she names Shea's Research Service. She will be the sole owner of the business, so it will be a proprietorship. During the entity's first ten days of operations, the following transactions take place:

a. To begin operations, Shea deposits $50,000 of personal funds in a bank account entitled Shea's Research Service.
b. Shea pays $40,000 cash for a small house to be used as an office.
c. Shea purchases $250 in office supplies on credit (that is, on account).
d. Shea pays cash of $6,000 for office furniture.
e. Shea pays $150 on the account payable she created in transaction c.
f. Shea withdraws $1,000 cash for personal use.

Required

1. Prepare the journal entries to record these transactions. Key the journal entries by letter.
2. Post the entries to the ledger.
3. Prepare the trial balance of Shea's Research Service at August 10, 19X5.

SOLUTION TO REVIEW PROBL

Requirement 1

Accounts and Explanation	Debit	Credit
a. Cash	50,000	
Liz Shea, Capital		50,000
Initial investment by owner.		
b. Building	40,000	
Cash		40,000
Purchased building for an office.		
c. Office Supplies	250	
Accounts Payable		250
Purchased office supplies on account.		
d. Office Furniture	6,000	
Cash		6,000
Purchased office furniture.		
e. Accounts Payable	150	
Cash		150
Paid cash on account.		
f. Liz Shea, Withdrawals	1,000	
Cash		1,000
Withdrew cash for personal use.		

Requirement 2

Assets

Cash

(a)	50,000	(b)	40,000
		(d)	6,000
		(e)	150
		(f)	1,000
Bal.	2,850		

Office Supplies

(c)	250		
Bal.	250		

Office Furniture

(d)	6,000		
Bal.	6,000		

Building

(b)	40,000		
Bal.	40,000		

Liabilities

Accounts Payable

(e)	150	(c)	250
		Bal.	100

Owner's Equity

Liz Shea, Capital

		(a)	50,000
		Bal.	50,000

Liz Shea, Withdrawals

(f)	1,000		
Bal.	1,000		

Requirement 3

Shea's Research Service
Trial Balance
August 10, 19X5

Account Title	Balance Debit	Balance Credit
Cash	$ 2,850	
Office supplies	250	
Office furniture	6,000	
Building	40,000	
Accounts payable		$ 100
Liz Shea, capital		50,000
Liz Shea, withdrawals	1,000	
Total	$50,100	$50,100

Summary Problem for Your Review

The trial balance of Tomassini Computer Service Center on March 1, 19X2, lists the entity's assets, liabilities, and owner's equity on that date.

Account Title	Balance Debit	Balance Credit
Cash	$26,000	
Accounts receivable	4,500	
Accounts payable		$ 2,000
L. Tomassini, capital		28,500
Total	$30,500	$30,500

During March the business engaged in the following transactions:

1. Tomassini borrowed $45,000 from the bank. He signed a note payable in the name of the business.
2. Paid cash of $40,000 to a real estate company to acquire land.
3. Performed service for a customer and received cash of $5,000.
4. Purchased supplies on credit, $300.
5. Performed customer service and earned revenue on account, $2,600.
6. Paid $1,200 on account.
7. Paid the following cash expenses: salaries, $3,000; rent, $1,500; and interest, $400.
8. Received $3,100 on account.
9. Received a $200 utility bill that will be paid next week.
10. Tomassini withdrew $1,800 for personal use.

Required

debit

1. Open the following accounts, with the balances indicated, in the ledger of Tomassini Computer Service Center. Use the T-account format.
   Assets—Cash, $26,000; Accounts Receivable, $4,500; Supplies, no balance; Land, no balance
   Liabilities—Accounts Payable, $2,000; Note Payable, no balance
   Owner's Equity—Larry Tomassini, Capital, $28,500; Larry Tomassini, Withdrawals, no balance
   Revenues—Service Revenue, no balance
   Expenses—(none have balances) Salary Expense, Rent Expense, Utilities Expense, Interest Expense
2. Journalize the preceding transactions. Key journal entries by transaction number.
3. Post to the ledger.
4. Prepare the trial balance of Tomassini Computer Service Center at March 31, 19X2.
5. Compute the net income or net loss of the entity during the month of March. List expenses in order from the largest to the smallest.

Requirement 1

Assets

Cash	
Bal. 26,000	

Accounts Receivable	
Bal. 4,500	

Supplies	

Land	

Liabilities

Accounts Payable	
	Bal. 2,000

Note Payable	

Owner's Equity

Larry Tomassini, Capital	
	Bal. 28,500

Larry Tomassini, Withdrawals	

Revenues

Service Revenue	

Expenses

Salary Expense	

Rent Expense	

Utilities Expense	

Interest Expense	

Requirement 2

Accounts and Explanation	Debit	Credit
1. Cash	45,000	
Note Payable		45,000
Borrowed cash on note payable.		
2. Land	40,000	
Cash		40,000
Purchased land for cash.		
3. Cash	5,000	
Service Revenue		5,000
Performed service and received cash.		
4. Supplies	300	
Accounts Payable		300
Purchased supplies on account.		
5. Accounts Receivable	2,600	
Service Revenue		2,600
Performed service on account.		
6. Accounts Payable	1,200	
Cash		1,200
Paid on account.		
7. Salary Expense	3,000	
Rent Expense	1,500	
Interest Expense	400	
Cash		4,900
Paid cash expenses.		

		Debit	Credit
8.	Cash	3,100	
	Accounts Receivable		3,100
	Received on account.		
9.	Utilities Expense	200	
	Accounts Payable		200
	Received utility bill.		
10.	Larry Tomassini, Withdrawals	1,800	
	Cash		1,800
	Withdrew for personal use.		

Requirement 3

Assets

Cash

Bal.	26,000	(2)	40,000
(1)	45,000	(6)	1,200
(3)	5,000	(7)	4,900
(8)	3,100	(10)	1,800
Bal.	31,200		

Accounts Receivable

Bal.	4,500	(8)	3,100
(5)	2,600		
Bal.	4,000		

Supplies

(4)	300		
Bal.	300		

Land

(2)	40,000		
Bal.	40,000		

Liabilities

Accounts Payable

(6)	1,200	Bal.	2,000
		(4)	300
		(9)	200
		Bal.	1,300

Note Payable

		(1)	45,000
		Bal.	45,000

Owner's Equity

Larry Tomassini, Capital

		Bal.	28,500

Larry Tomassini, Withdrawals

(10)	1,800		
Bal.	1,800		

Revenues

Service Revenue

		(3)	5,000
		(5)	2,600
		Bal.	7,600

Expenses

Salary Expense

(7)	3,000		
Bal.	3,000		

Rent Expense

(7)	1,500		
Bal.	1,500		

Utilities Expense

(9)	200		
Bal.	200		

Interest Expense

(7)	400		
Bal.	400		

Requirement 4

March 31

Tomassini Computer Service Center
Trial Balance
March 31, 19X2

Account Title	Balance Debit	Balance Credit
Cash	$31,200	
Accounts receivable	4,000	
Supplies	300	
Land	40,000	
Accounts payable		$ 1,300
Note payable		45,000
Larry Tomassini, capital		25,500
Larry Tomassini, withdrawals	1,800	
Service revenue		7,600
Salary expense	3,000	
Rent expense	1,500	
Utilities expense	200	
Interest expense	400	
Total	$82,400	$82,400

Requirement 5

Net income for the month of March

Revenues:		
Service revenue		$7,600
Expenses:		
Salary expense	$3,000	
Rent expense	1,500	
Interest expense	400	
Utilities expense	200	
Total expenses		5,100
Net income		$2,500

Exercise 2-2 *Analyzing and journalizing transactions* *(L.O. 2,3)*

Analyze the following transactions in the manner shown for the December 1 transaction. Also record each transaction in the journal.

Dec. 1 Paid monthly rent expense of $1,000. (Analysis: The expense rent expense is increased; therefore, debit Rent Expense. The asset cash is decreased; therefore, credit Cash.)

1	Rent Expense	1,000	
	Cash		1,000

4 Received $600 cash on account from a customer.
8 Performed service on account for a customer, $1,100.
12 Purchased office furniture on account, $810.
19 Sold for $69,000 land that had cost this same amount.
24 Purchased building for $140,000; signed a note payable.
27 Paid the liability created on December 12.

Exercise 2-3 *Journalizing transactions* *(L.O. 3)*

Vines Consulting Service engaged in the following transactions during March 19X3, its first month of operations:

Mar. 1 John Vines invested $65,000 of cash to start the business.
2 He purchased office supplies of $200 on account.
4 He paid $25,000 cash for land to use as a future building site.
6 He performed service for customers and received cash, $2,000.
9 He paid $100 on accounts payable.
17 He performed service for customers on account, $1,600.
23 He received $1,200 cash from a customer on account.
31 He paid the following expenses: salary, $1,200; rent, $500.

Required

Record the preceding transactions in the journal of Vines Consulting Service. Key transactions by date and include an explanation for each entry, as illustrated in the chapter. Use the following accounts: Cash; Accounts Receivable; Office Supplies; Land; Accounts Payable; John Vines, Capital; Service Revenue; Salary Expense; Rent Expense.

Investigation of the accounting records reveals that the bookkeeper:

1. Recorded a cash revenue transaction by debiting Cash for the correct amount of $5,000 but failed to record the credit to Service Revenue.
2. Posted a $1,000 credit to Accounts Payable as $100.
3. Did not record utilities expense or the related account payable in the amount of $200.
4. Understated Cash and Emily Thai, Capital, by $400 each.

Required

Prepare the correct trial balance at November 30, complete with a heading. Journal entries are not required.

Exercise 2-10 *Recording transactions without a journal (L.O. 6)*

Open the following T-accounts: Cash; Accounts Receivable; Office Supplies; Office Furniture; Accounts Payable; Albert Peña, Capital; Albert Peña, Withdrawals; Service Revenue; Salary Expense; Rent Expense.

Record the following transactions directly in the T-accounts without using a journal. Use the letters to identify the transactions.

a. Albert Peña opened an accounting firm by investing $8,800 cash and office furniture valued at $7,400.
b. Paid monthly rent of $1,500.
c. Purchased office supplies on account, $800.
d. Paid employee salary, $1,800.
e. Paid $400 of the account payable created in c.
f. Performed accounting service on account, $1,700.
g. Withdrew $2,000 for personal use.

Exercise 2-11 *Preparing a trial balance (L.O. 5)*

After recording the transactions in Exercise 2-10, prepare the trial balance of Albert Peña, CPA, at May 31, 19X7.

Problems (Group A)

Problem 2-1A *Analyzing a trial balance (L.O. 1)*

The owner of McBee Service Company is selling the business. She offers the trial balance shown at the top of the next page to prospective buyers.

Your best friend is considering buying McBee Service Company. He seeks your advice in interpreting this information. Specifically, he asks whether this trial balance is the same as a balance sheet and an income statement. He also

McBee Service Company
Trial Balance
December 31, 19XX

Cash	$ 4,000	
Accounts receivable	11,000	
Prepaid expenses	4,000	
Land	31,000	
Accounts payable		$ 31,000
Note payable		20,000
Laura McBee, capital		30,000
Laura McBee, withdrawals	21,000	
Sales revenue		47,000
Rent expense	14,000	
Advertising expense	3,000	
Wage expense	33,000	
Supplies expense	7,000	
	$128,000	$128,000

Problem 2-2A *Analyzing and journalizing transactions (L.O. 2,3)*

Lee Quinius practices medicine under the business title Lee Quinius, M.D. During April his medical practice engaged in the following transactions:

Apr. 1 Quinius deposited $75,000 cash in the business bank account.
5 Paid monthly rent on medical equipment, $700.
9 Paid $42,000 cash to purchase land for an office site.
10 Purchased supplies on account, $1,200.
19 Paid $1,000 on account.
30 Revenues earned during the month included $6,000 cash and $5,000 on account.
30 Paid employee salaries ($2,400), office rent ($1,500), and utilities ($400).
30 Borrowed $20,000 from the bank for business use. Quinius signed a note payable to the bank in the name of the business.
30 Withdrew $4,000 from the business to take his family on a trip.

Quinius's business uses the following accounts: Cash; Accounts Receivable; Supplies; Land; Accounts Payable; Notes Payable; Lee Quinius, Capital; Lee Quinius, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Utilities Expense.

Required

1. Prepare an analysis of each business transaction of Lee Quinius, M.D., as shown for the April 1 transaction:

   Apr. 1 The asset Cash is increased. Increases in assets are recorded by debits; therefore, debit Cash.

   The owner's equity is increased. Increases in owner's equity are recorded by credits; therefore, credit Lee Quinius, Capital.

2. Prepare the journal entry for each transaction. Explanations are not required.

Problem 2-3A *Journalizing transactions, posting to T-accounts, and preparing a trial balance (L.O. 2,3,4,5)*

Marie Haley opened a law office on January 2 of the current year. During the first month of operations the business completed the following transactions:

Jan. 2 Haley deposited $40,000 cash in a business bank account entitled Marie Haley, Attorney.
3 Purchased supplies, $500, and furniture, $2,600, on account.
4 Performed legal services for a client and received cash, $1,500.
7 Paid cash to acquire land for a future office site, $22,000.
11 Defended a client in court, billed the client, and received his promise to pay the $800 within one week.
15 Paid secretary salary, $650.
16 Paid for the furniture purchased January 3 on account.
17 Paid the telephone bill, $110.
18 Received partial payment from client on account, $400.
19 Prepared legal documents for a client on account, $600.
22 Paid the water and electricity bills, $130.
29 Received $1,800 cash for helping a client sell real estate.
31 Paid secretary salary, $650.
31 Paid rent expense, $700.
31 Withdrew $2,200 for personal use.

Required

Open the following T-accounts: Cash; Accounts Receivable; Supplies; Furniture; Land; Accounts Payable; Marie Haley, Capital; Marie Haley, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Utilities Expense.

1. Record each transaction in the journal, using the account titles given. Key each transaction by date. Explanations are not required.
2. Post the transactions to the ledger, using transaction dates as posting references in the ledger. Label the balance of each account *Bal.*, as shown in the chapter.
3. Prepare the trial balance of Marie Haley, Attorney, at January 31 of the current year.

Account Cash | Account No. 11

Date	Item	Jrnl. Ref.	Debit	Credit	Balance Debit	Balance Credit
Nov. 15	Bal.	✓			5,000	

3. Prepare the trial balance of William Pittenger, CPA, at November 30, 19X3.

Problem 2-5A *Journalizing, posting to T-accounts, and preparing a trial balance (L.O. 2,3,4,5)*

Steakley Delivery Service began operations during May of the current year. During a short period thereafter, the entity engaged in the following transactions:

a. Lou Steakley, the owner, deposited $3,500 cash in a bank account entitled Steakley Delivery Service and also invested in the business a delivery truck valued at $8,000.
b. Purchased $40 fuel for the delivery truck, using a business credit card.
c. Paid $100 cash for supplies.
d. Completed a delivery job and received cash, $700.

Hewitt Speed & Marine
Trial Balance
October 31, 19X1

Cash	\$ 3,800	
Accounts receivable	2,000	
Supplies	500	
Office furniture	2,300	
Land	46,800	
Accounts payable		\$ 2,000
Note payable		18,300
Laura Hewitt, capital		32,100
Laura Hewitt, withdrawals	3,700	
Service revenue		4,900
Salary expense	1,000	
Rent expense	600	
Advertising expense	400	
Utilities expense	200	
Property tax	100	
Total	\$61,400	\$57,300

Problem 2-7A *Recording transactions directly in the ledger, preparing a trial balance (L.O. 2,5,6)*

Ken Mazanec started a cable television service and during the first month of operations completed the following selected transactions:

a. Mazanec began the business with an investment of \$30,000 cash and a building valued at \$50,000.
b. Borrowed \$25,000 from the bank; signed a note payable.
c. Paid \$32,000 for transmitting equipment. e. D . e : e.
d. Purchased office supplies on account, \$400.
e. Paid employee salary, \$1,300.
f. Received \$500 for cable TV service performed for customers.
g. Sold cable service to customers on account, \$2,300.
h. Paid \$100 of the account payable created in *d.*
i. Received a \$600 bill for utility expense that will be paid in the near future.
j. Received cash on account, \$1,100.
k. Paid the following cash expenses:
   (1) Rent on land, \$1,000
   (2) Advertising, \$800.
l. Withdrew \$2,600 for personal use.

Required

1. Open the following T-accounts: Cash; Accounts Receivable; Office Supplies; Transmitting Equipment; Building; Accounts Payable; Note Payable; Ken Mazanec, Capital; Ken Mazanec, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Advertising Expense; Utilities Expense.
2. Record the following transactions directly in the T-accounts without using a journal. Use the letters to identify the transactions.
3. Prepare the trial balance of Mazanec Cable TV Service at January 31.

Sales revenue		
Rent expense		
Advertising expense		
Wage expense	23,000	
Supplies expense	7,000	
	$207,000	$207,000

Your best friend is considering buying Wang Service Company. He seeks your advice in interpreting this information. Specifically, he asks whether this trial balance is the same as a balance sheet and an income statement. He also wonders whether Wang must be a sound company. After all, the accounts are in balance.

Required

Write a short note to answer your friend's questions. To aid his decision, state how he can use the information on the trial balance to determine whether Wang has earned a net income or experienced a net loss for the current period.

Problem 2-2B *Analyzing and journalizing transactions* (L.O. 2,3)

Good Times Theater Company owns movie theaters in the shopping centers of a major metropolitan area. Its owner, Jill Mead, engaged in the following business transactions:

Dec. 1 Mead invested $75,000 personal cash in the business by depositing this amount in a bank account entitled Good Times Theater Company.

2 Paid $55,000 cash to purchase land for a theater site.

5 Borrowed $250,000 from the bank to finance the construction of the new theater. Mead signed a note payable to the bank in the name of Good Times Theater Company.

7 Received $20,000 cash from ticket sales and deposited this amount in the bank. (Label the revenue as Sales Revenue.)

10 Purchased supplies for the older theaters on account, $1,700.

15 Paid theater employee salaries, $2,800, and rent on a theater building, $1,800.

15 Paid property tax expense on theater building, $1,200.

16 Paid $800 on account.

17 Withdrew $3,000 from the business to take her family to a nearby resort.

Good Times uses the following accounts: Cash; Supplies; Land; Accounts Payable; Notes Payable; Jill Mead, Capital; Jill Mead, Withdrawals; Sales Revenue; Salary Expense; Rent Expense; Property Tax Expense.

Required

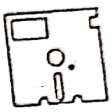
1. Prepare an analysis of each business transaction of Good Times Theater Company, as shown for the December 1 transaction:

   Dec. 1 The asset Cash is increased. Increases in assets are recorded by debits; therefore, debit Cash.
   The owner's equity of the entity is increased. Increases in owner's equity are recorded by credits; therefore, credit Jill Mead, Capital.

2. Prepare the journal entry for each transaction. Explanations are not required.

Problem 2-3B *Journalizing transactions, posting to T-accounts, and preparing a trial balance* (L.O. 2,3,4,5)

Oliver Goldsmith opened a law office on September 3 of the current year. During the first month of operations, the business completed the following transactions:



Sep. 3 Goldsmith transferred $20,000 cash from his personal bank account to a business account entitled Oliver Goldsmith, Attorney.
4 Purchased supplies, $200, and furniture, $1,800, on account.
6 Performed legal services for a client and received $1,000 cash.
7 Paid $15,000 cash to acquire land for a future office site.
10 Defended a client in court, billed the client, and received her promise to pay the $900 within one week.
14 Paid for the furniture purchased September 4 on account.
15 Paid secretary salary, $600.
16 Paid the telephone bill, $120.
17 Received partial payment from client on account, $700.
20 Prepared legal documents for a client on account, $800.
24 Paid the water and electricity bills, $110.
28 Received $1,500 cash for helping a client sell real estate.
30 Paid secretary salary, $600.
30 Paid rent expense, $500.
30 Withdrew $2,000 for personal use.

Required

Open the following T-accounts: Cash; Accounts Receivable; Supplies; Furniture; Land; Accounts Payable; Oliver Goldsmith, Capital; Oliver Goldsmith, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Utilities Expense.

1. Record each transaction in the journal, using the account titles given. Key each transaction by date. Explanations are not required.
2. Post the transactions to the ledger, using transaction dates as posting references in the ledger. Label the balance of each account *Bal.*, as shown in the chapter.
3. Prepare the trial balance of Oliver Goldsmith, Attorney, at September 30 of the current year.

Post the transactions to the ledger, using dates, account numbers, journal references, and posting references.

3. Prepare the trial balance of Elizabeth Staar, CPA, at February 28, 19X3.

Problem 2-5B *Journalizing, posting to T-accounts, and preparing a trial balance (L.O. 2,3,4,5)*

Dwyer Delivery Service completed the following transactions during its first month of operations:

a. Paul Dwyer, the proprietor of the business, began operations by investing in the business $5,000 cash and a truck valued at $10,000.
b. Paid $200 cash for supplies.
c. Used a company credit card to purchase $50 fuel for the delivery truck. (Credit Accounts Payable.)
d. Performed delivery services for a customer and received $600 cash.
e. Completed a large delivery job, billed the customer $2,000, and received a promise to be paid the $2,000 within one week.
f. Paid employee salary, $800.
g. Received $900 cash for performing delivery services.
h. Purchased fuel for the truck on account, $40.
i. Received $2,000 cash from a customer on account.
j. Paid for advertising in the local newspaper, $170.
k. Paid utility bills, $100.
l. Purchased fuel for the truck, paying $30 with a company credit card.
m. Performed delivery services on account, $800.
n. Paid for repairs to the delivery truck, $110.
o. Paid employee salary, $800, and office rent, $200.
p. Paid $120 on account.
q. Withdrew $1,900 for personal use.

Required

1. Record each transaction in the journal, using the account titles given. Key each transaction by letter. Explanations are not required.
2. Open the following T-accounts: Cash; Accounts Receivable; Supplies; Delivery Truck; Accounts Payable; Paul Dwyer, Capital; Paul Dwyer, Withdrawals; Delivery Service Revenue; Salary Expense; Rent Expense; Advertising Expense; Fuel Expense; Repair Expense; Utilities Expense. Post the transactions to the ledger, keying transactions by letter. Label the balance of each account *Bal.*, as shown in the chapter.
3. Prepare the trial balance of Dwyer Delivery Service, using the current date.

Problem 2-6B *Correcting errors in a trial balance (L.O. 2,5)*

The following trial balance on page 94 does not balance:

The following errors were detected:

a. The cash balance is understated by $300.
b. Property tax expense of $500 was omitted from the trial balance.

g. The balance of Advertising Expense is $600, but it was listed as $500 on the trial balance.
h. A $300 debit to Accounts Receivable was posted as $30.
i. The balance of Utilities Expense is overstated by $70.
j. A $900 debit to the Withdrawal account was posted as a credit to Carmen Cathay, Capital.

Required

Prepare the correct trial balance at June 30. Journal entries are not required.

Problem 2-7B *Recording transactions directly in the ledger, preparing a trial balance (L.O. 2,5,6)*

Diana Flori started a consulting service and during the first month of operations completed the following selected transactions:

a. Flori began the business with an investment of $15,000 cash and a building valued at $60,000.
b. Borrowed $30,000 from the bank; signed a note payable.
c. Purchased office supplies on account, $1,300.
d. Paid $18,000 for office furniture.
e. Paid employee salary, $2,200.
f. Performed consulting service on account for client, $2,100.
g. Paid $800 of the account payable created in c.
h. Received a $900 bill for advertising expense that will be paid in the near future.
i. Performed consulting service for customers and received cash, $1,600.
j. Received cash on account, $1,200.
k. Paid the following cash expenses:
   (1) Rent on land, $700.
   (2) Utilities, $400.
l. Withdrew $3,500 for personal use.

Required

1. Open the following T-accounts: Cash; Accounts Receivable; Office Supplies; Office Furniture; Building; Accounts Payable; Note Payable; Diana Flori, Capital; Diana Flori, Withdrawals; Service Revenue; Salary Expense; Advertising Expense; Rent Expense; Utilities Expense.
2. Record each transaction directly in the T-accounts without using a journal. Use the letters to identify the transactions.
3. Prepare the trial balance of Flori Consulting Service at June 30, 19X3.

Extending Your Knowled

Decision Problems

1. *Recording Transactions Directly in the Ledger, Preparing a Trial Balance, and Measuring Net Income or Loss* (L.O. 2,5,6)

You have been requested by a friend named Charles Sligh to give advice on the effects that certain business transactions will have on the entity he plans to start. Time is short, so you will not be able to do all the detailed procedures of journalizing and posting. Instead, you must analyze the transactions without the use of a journal. Sligh will continue the business only if he can expect to earn monthly net income of $3,500. Assume the following transactions have occurred:

a. Sligh deposited $6,000 cash in a business bank account.
b. Borrowed $4,000 cash from the bank and signed a note payable due within one year.
c. Paid $300 cash for supplies.
d. Purchased advertising in the local newspaper for cash, $800.
e. Purchased office furniture on account, $1,500.
f. Paid the following cash expenses for one month: secretary salary, $1,400; office rent, $400; utilities, $300; interest, $50.
g. Earned revenue on account $4,300.
h. Earned revenue and received $2,500 cash.
i. Collected cash from customers on account, $1,200.
j. Paid on account, $1,000.
k. Withdrew $900 for personal use.